

H-02, Liquidated Damages for Key Personnel Vacancies

(a) Applicability: The parties agree that the positions listed below are essential for successful contract performance. These positions are designated as Key Personnel:

1. Moron AB Site Lead
2. Civil Engineer Manager
3. Structural Engineer
4. Fire Chief
5. Additional Key Personnel may be added

(b) Performance Standard and Certification: The Contractor shall ensure that all Key Personnel positions are filled at all times with individuals who meet or exceed the minimum qualification requirements set forth in the Performance Work Statement (PWS).

(i) Initial Manning Certification: Upon completion of the phase-in period, the Contractor shall provide a formal, written certification to the Contracting Officer attesting that all individuals assigned to Key Personnel positions meet the PWS requirements.

(ii) Vacancy Fill Certification: When filling a vacant Key Personnel position, the Contractor shall provide a similar written certification for the replacement candidate as part of the formal notification to the Contracting Officer that the position has been filled.

(c) Interim "Acting" Personnel. The Contractor may temporarily assign another qualified employee to serve in a vacant Key Personnel position on an "acting" basis. However, such an acting assignment shall not exceed ninety (90) calendar days and does not relieve the Contractor of its obligation to permanently fill the position within the Vacancy Fill Period defined herein.

(d) Vacancy Fill Period and Suspension: The Contractor shall have a qualified individual on-site and performing the duties of the Key Personnel position within sixty (60) calendar days (the "Vacancy Fill Period") from the date the position becomes vacant. The clock for this period shall be paused only during the time the Government is actively processing a security or country clearance for a Contractor-certified, qualified candidate. If a candidate withdraws their acceptance or is denied clearance for reasons attributable to the candidate, the clock shall retroactively restart from the date it was originally paused.

(e) Government Right to Verify: The Government reserves the right to review the credentials (e.g., resumes, certifications) of any individual assigned to a Key Personnel position at any time to verify compliance with the PWS requirements. A written determination by the CO that an individual does not meet the minimum qualifications shall constitute a vacancy effective on the date of that determination.

(f) Liquidated Damages: Should the Contractor fail to fill a vacant Key Personnel position within the Vacancy Fill Period, the parties agree this will cause substantial damage to mission oversight and performance, the exact amount of which is difficult to ascertain. Therefore, the

Contractor shall pay to the Government, as fixed and agreed liquidated damages and not as a penalty, the amount stipulated below.

(i) Liquidated damages shall accrue at a rate of \$500.00 for each calendar day the position remains vacant, beginning on the day immediately following the expiration of the Vacancy Fill Period.

(ii) The total accrued amount shall be withheld by the Government via a deduction from the contractor's next available monthly invoice for CLIN 0001 - Program Management & Integration.